Lead Broker Blueprint

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Module 2

The Vertical Landscape

What this module does

Module 2 takes the vocabulary and structural-economics groundwork from Module 1 and applies it to vertical selection. You'll learn a six-factor framework for evaluating verticals, see each of the major consumer and B2B verticals scored against it, and finish with a decision exercise that helps you narrow the list based on your own situation.

The output is not "here's the best vertical." The output is **a vertical you can defend choosing** — one or two niches you've evaluated against a framework, not picked because a guru on YouTube made it sound easy.

What you will be able to do after this module

1. Apply the six-factor evaluation framework (demand stability, lead price ceiling, competition, regulatory complexity, beginner accessibility, capital required) to any vertical you encounter.
2. Describe the major sub-verticals, price ranges, and key regulatory friction inside each of the seven covered verticals.
3. Score yourself against your candidate verticals using the niche evaluation worksheet — and walk away with a defensible short list, not a vague preference.

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Module 2 overview

"What vertical should I start in?" is the most common question new operators ask, and the most common bad answer is "the one where I think the money is." The honest answer is more like: it depends on your capital, your time, your existing skills and network, and your tolerance for regulatory friction. Module 2 is the structured way to find that answer.

The module is nine lessons:

- 2.1 The niche evaluation framework (the spine of the module — read first).
- 2.2 Legal services.
- 2.3 Home services.
- 2.4 Insurance.
- 2.5 Financial services.
- 2.6 Healthcare and medical.
- 2.7 B2B services.
- 2.8 Local services and other consumer verticals.
- 2.9 Picking your first vertical — a decision exercise.

Three deliverables ship with this module: the vertical comparison spreadsheet (scored across every vertical), the niche evaluation worksheet (you fill it in for your own situation), and a major buyers and networks reference organized by vertical.

Lesson 2.1 — The niche evaluation framework

> **Learning objective**
> By the end of this lesson, you can apply six factors to any candidate vertical and produce a comparable score. You can also explain why each factor matters and what a high vs. low score actually means in operator terms.

Why a framework

Verticals look different from inside than from outside. Lead prices that sound large on a podcast may attach to deals with extremely long sales cycles, regulatory restrictions that constrain compensation, or competition so intense that the headline price is a fiction at the volumes a newcomer can deliver. A framework forces you to look at six things, every time, and score them comparably across verticals — so a $400 personal injury lead and a $25 auto insurance lead are evaluated against the same questions.

The six factors below are not novel. They are the variables operators publicly discuss when explaining why they specialized where they did. The contribution of the framework is to put them in one place and force a comparable 1–5 score on each.

The six factors

1. Demand stability

How steady is buyer demand across an economic cycle, a litigation cycle, and a regulatory cycle? Auto insurance demand is structurally steady (people buy insurance every year regardless of recession). Mortgage refinance demand is rate-environment-dependent (refi volume collapsed 70%+ from 2021 to 2023). Mass tort demand is litigation-dependent (a single MDL bankruptcy or settlement can collapse a sub-vertical). A 5 means "steady through most cycles"; a 1 means "can disappear in months."

2. Lead price ceiling

How high can per-lead pricing realistically go in this vertical, given LTV and conversion math? Personal injury exclusive form leads at $250–650+ have high ceilings. Auto insurance shared form leads at $5–20 have low ceilings. The ceiling matters because it determines what's economically possible at scale — and how much margin there is to share across the chain. A 5 means "some lead types regularly trade above $300"; a 1 means "the whole vertical lives below $30."

3. Competition level

How concentrated and how aggressive is the existing supply side? Auto insurance is dominated by a few large publicly-traded operators (MediaAlpha, QuinStreet, EverQuote) plus large affiliate networks; the competition for traffic is fierce and the platform-level CPLs are bid up. Workers' comp is comparatively

fragmented at the broker level. A 5 means "fragmented, room for newcomers"; a 1 means "oligopoly, hard to compete on price."

4. Regulatory complexity

How many distinct legal regimes touch this vertical, and how active is enforcement? Addiction treatment lead generation has to navigate EKRA, the federal Anti-Kickback Statute, HIPAA, and state-level marketing rules — all simultaneously. Pest control marketing has the TCPA and not much else. A high score here is a warning, not a recommendation: 5 means "manageable with standard compliance hygiene"; 1 means "heavy specialist counsel required from day one."

5. Beginner accessibility

Can a brand-new operator credibly land their first 2–3 buyer contracts? Some verticals welcome new vendors at small volume tiers (legal sub-verticals like family law and bankruptcy; some home services trades). Some verticals will not return calls from anyone without a multi-year track record (large insurance carrier procurement; enterprise SaaS demand teams). A 5 means "small operators routinely land their first contracts here"; a 1 means "no track record, no conversation."

6. Capital required to enter

What does it cost — in ad spend, software, compliance tooling, and labor — to be a credible operator in this vertical at a starter scale? Verticals where the dominant traffic source is paid search at $20–60 cost-per-click require meaningful capital just to test a hypothesis. Verticals where SEO or organic referral can produce starter inventory have a lower capital floor. A 5 means "can validate with $1k–5k"; a 1 means "realistic entry needs $25k+."

How to score and use it

For each candidate vertical, write the score for each factor (1–5) and a one-line note that justifies it. Sum the six scores; the maximum is 30. But the sum is less interesting than the shape. A 24 with three 5s and three 3s tells you something different than a 24 of all 4s. The pattern reveals what kind of vertical it is and what kind of operator it suits.

What operators say works: *in trade conversations, operators consistently note that the two factors that matter most to whether a newcomer survives year one are #5 (beginner accessibility) and #6 (capital required). High-ceiling verticals like personal injury have crushed many newcomers because the capital and competition are wrong for a small starting position; lower-ceiling but more accessible verticals like family law have been kinder to newcomers despite worse headline economics.*

Use the framework as a coarse filter, then dig deeper on the two or three verticals that score well on the factors that matter most to your situation. The vertical comparison spreadsheet and the niche evaluation worksheet (delivered with this module) operationalize the framework.

Sources and further reading

- Public earnings disclosures (10-K, 10-Q) of QuinStreet, MediaAlpha, and EverQuote — for demand stability and competition signals in insurance.
- Angi Inc. public filings — for home services demand-side concentration.
- WordStream/LocaliQ Search Advertising Benchmarks — for capital-required signals (CPC × conversion rate).
- LeadsCouncil annual operator surveys — for beginner-accessibility commentary.

Lesson 2.2 — Legal services

> **Learning objective**
> Name the major legal sub-verticals, recite price ranges for each, and explain the ABA Model Rule 5.4 / 7.2 / 7.3 framework that shapes how legal lead generation must be structured.

Why legal

Legal services has the highest headline lead prices in consumer lead generation. Personal injury exclusive form leads regularly trade $250–650+, signed-case pricing reaches $500–2,000+, and mass tort signed retainers commonly run $1,500–5,000+. The reason is straightforward: a single personal injury case nets a firm $15,000–20,000+ on average; a mass tort retainer can net the firm tens of thousands more on settlement. The LTV ceiling supports the price ceiling.

Legal is also the vertical with the most state-level variability in rules. Per-lead flat-fee structures generally survive ABA Model Rule 5.4 (fee-sharing prohibition) when designed as advertising payments. Percentage-of-recovery or contingent-on-outcome compensation generally does not. New York, New Jersey, and Texas state bars have been particularly active in scrutinizing legal lead-generation arrangements.

Sub-verticals at a glance

Sub-vertical	Lead type	Typical price (USD)
Personal injury	Shared form	$50 – $150
Personal injury	Exclusive form	$250 – $650+
Personal injury	Signed case (CPA)	$500 – $2,000+
Mass tort (active MDL)	Signed retainer (CPA)	$1,500 – $5,000+
Workers' compensation	Form lead	$80 – $250
Family law	Form lead	$50 – $150
Bankruptcy	Form lead	$40 – $100
Immigration	Form lead	$40 – $90
Criminal defense	Form lead	$60 – $150

Regulatory shape

What regulations require: ABA Model Rule 5.4 prohibits fee-sharing with non-lawyers (narrow exceptions exist; D.C. and Arizona have relaxed this). Rule 7.2 permits payments for advertising and lead generation if the payments are reasonable and the lead generator is not making impermissible recommendations or implying endorsement. Rule 7.3 governs solicitation. The intersection of these rules is the reason per-lead flat fees survive in most states while revenue share generally does not. The TCPA, FTC Endorsement Guides, and FTC Reviews Rule also apply on top of the bar rules.

Where newcomers actually start

Personal injury is the headline vertical, but the conventional wisdom — repeatedly reflected in operator commentary — is that PI is a hard place to learn the business. Capital intensity is high, paid-search CPCs in major metros are extreme ($50–200+ on the highest-intent terms), and the buyers (mid-size and larger PI firms) have strong procurement standards that newcomers struggle to meet.

The starter sub-verticals operators routinely name: family law, bankruptcy, and immigration. Per-lead prices are lower but so are intake conversion expectations, the buyer pool is more fragmented (more solo and small-firm attorneys), and the volume requirements to validate a hypothesis are smaller. A newcomer with $5,000 in test budget can plausibly produce a starter inventory in one of these sub-verticals; the same budget in PI mostly produces a learning experience and an empty bank account.

On-camera summary

Legal has the highest headline prices in consumer lead generation, but the headline prices live in the sub-verticals that are hardest for newcomers to enter — personal injury and mass tort. The starter sub-verticals are family law, bankruptcy, and immigration. The compliance frame is ABA Model Rules 5.4 (fee-sharing), 7.2 (advertising), and 7.3 (solicitation), plus state-level variations and the federal TCPA/FTC overlay. Revenue share is generally not workable; per-lead flat-fee structures are.

Sources

- ABA Model Rules of Professional Conduct, Rules 5.4, 7.2, 7.3.
- State bar advertising rules and ethics opinions (NY, NJ, TX, CA particularly active).
- LeadsCouncil and Mass Torts Made Perfect conference materials — for sub-vertical pricing context.

Lesson 2.3 — Home services

> **Learning objective**
> Name the major home services sub-verticals, recite their price ranges, and describe the structural dynamics (storm-chasing, demand seasonality, Angi/Networx/Modernize concentration) that shape the vertical.

Why home services

Home services covers any trade or improvement contractor: roofing, HVAC, plumbing, electrical, solar, landscaping, remodeling, windows, siding, pest control, cleaning. It is the second-largest consumer lead generation vertical by total spend, behind insurance. Demand is driven by a combination of necessity (HVAC breakdown, plumbing emergency), opportunity (remodeling, solar), and event-driven shocks (storm damage, especially for roofing).

Sub-verticals at a glance

Sub-vertical	Lead type	Typical price (USD)
Roofing	Shared form	$20 – $75
Roofing	Exclusive form	$100 – $300
HVAC	Shared form	$20 – $65
HVAC	Exclusive form	$80 – $200
Plumbing	Shared form	$15 – $45
Electrical	Shared form	$15 – $40
Solar (post-2023 reset)	Form lead	$30 – $120
Remodeling / general	Form lead	$30 – $150
Windows / siding	Form lead	$40 – $180
Landscaping	Form lead	$15 – $50
Pest control	Form lead	$15 – $40

Structural dynamics worth knowing

Demand concentration

Three operators — Angi Leads (formerly HomeAdvisor), Modernize, and Networx — supply a disproportionate share of contractor demand. Many small contractors buy primarily from one or more of those three. A newcomer-broker selling into home services is competing for the same contractor's wallet share against these large operators.

Storm-chasing in roofing

Roofing has the highest CPL in home services ($228 average per published Google Ads benchmark data, with peaks much higher in storm-affected metros) and a unique demand dynamic: after major hailstorms and hurricanes, roofing demand spikes 5–20x in affected areas for weeks. Operators with the ability to scale paid media into a storm zone overnight (and contractors with insurance-claims expertise) capture outsized value. This is also where the most aggressive marketing practices have lived historically, and where state AG enforcement has been most active.

Solar's 2023–2024 reset

What regulations & policy require: California's Net Energy Metering 3.0 (NEM 3.0), effective April 2023, sharply reduced the financial value of new residential solar in California, which had been the largest U.S. solar market. Combined with rising interest rates (solar is largely loan- and lease-financed), this collapsed solar lead demand. Many large solar lead operators reduced headcount substantially or exited the vertical. Per-lead prices fell from $80–200+ in 2022 to the $30–120 range that has stabilized since.

Where newcomers actually start

Operators publicly note that pest control, cleaning, and small-trade remodeling (handyman, painting) are reasonable starter sub-verticals: lower CPLs, fragmented contractor demand, less competition from the dominant aggregators, and lower capital requirements to validate.

HVAC and roofing have higher headline prices but more concentrated buyer-side competition. A newcomer who's already a contractor (or has contractor relationships) has a meaningful advantage in any home services sub-vertical, since trust is often the deciding factor for small contractors choosing a new lead vendor.

On-camera summary

Home services is large, varied, and structurally shaped by three demand-side operators (Angi, Modernize, Networx). Roofing has the highest CPLs but is dominated by storm-chasing dynamics; HVAC is steadier but more concentrated on the buyer side; solar has reset since 2023 and is no longer the rocket vertical it was. Starter sub-verticals operators name are pest control, cleaning, and small-trade remodeling.

Sources

- Angi Inc. public filings (10-K, 10-Q) — for home services demand-side concentration and unit economics.
- California Public Utilities Commission Decision 22-12-056 (NEM 3.0).
- WordStream/LocaliQ Search Advertising Benchmarks (annual) — roofing CPL data.

Lesson 2.4 — Insurance

> **Learning objective**
> Describe the structure of insurance lead generation (auto, home, life, health, Medicare), explain why insurance is regulated more heavily than most verticals, and articulate why it's a difficult beginner vertical despite its size.

Why insurance

Insurance is the largest single lead generation vertical by total spend. It is also the most regulated, the most consolidated on the supply side, and — by operator consensus — one of the hardest places to enter as a new operator. Three publicly traded specialists (MediaAlpha, QuinStreet, EverQuote) plus large affiliate networks (AllWebLeads, Datalot, SmartFinancial) and a long tail of vertical-specific operators dominate supply. Demand-side procurement at the large carriers is professionalized and rigorous.

Sub-verticals at a glance

Sub-vertical	Lead type	Typical price (USD)
Auto	Shared form	$5 – $20
Auto	Exclusive form	$25 – $60
Auto	Qualified call	$15 – $40
Home	Form lead	$10 – $40
Life (term)	Form lead	$15 – $40
Final expense	Form lead / call	$15 – $40
Health (ACA)	Qualified call	$10 – $30 (peak: higher)
Medicare (AEP)	Qualified call	$25 – $60
Medicare (outside AEP)	Qualified call	$10 – $25

Why insurance is heavily regulated

What regulations require: Insurance is regulated at the state level (every state has its own department of insurance). Selling, soliciting, or negotiating insurance generally requires a state-issued license. Anti-rebating laws restrict compensation to non-licensed marketers. The TCPA has been litigated more

aggressively against insurance operators than against any other vertical, in part because robocall practices in insurance lead gen historically were more aggressive than in other verticals. The 2023 FCC one-to-one consent rule (since vacated) was driven specifically by insurance industry conduct.

Medicare and ACA marketing have additional CMS-imposed rules: scope-of-appointment requirements, recording obligations, and specific prohibitions on misleading claims about plans or benefits. CMS has been actively enforcing these rules against marketing organizations since 2022.

Why it's hard for beginners

Three structural reasons:

1. Buyer procurement is sophisticated. Large carriers have professional procurement teams that require certified consent records, audited quality reports, and (typically) a track record of compliant operation. A first-time vendor will not get a carrier meeting.
2. Capital requirements are high. The dominant traffic sources are paid search (high CPC) and large affiliate networks (large operator relationships). Starter capital below $25,000 is unlikely to validate.
3. Compliance posture has to be in place day one. TCPA exposure is real and disproportionate; carriers will audit and pull contracts on the first sign of consent-record gaps.

Where smaller operators do enter

Three patterns operators publicly describe as the workable starter paths:

- Agent-direct (not carrier-direct) sales: small independent insurance agencies buy in low volume, are accessible to new vendors, and pay reasonable per-lead rates ($10–25 shared auto, for example). The volume per agent is small.
- Medicare during AEP only: October 15 – December 7 is the annual election period; demand spikes; some operators run only during this window. Requires the operator to be a licensed insurance professional or to partner with one for the actual sales step.
- Final expense and small-face-value life: simpler sales cycle, less procurement complexity on the agent side.

If you are not already licensed (or willing to become licensed), the long-term path in insurance is largely blocked — the licensing step is the operator's compliance moat as much as it is the regulator's restriction.

On-camera summary

Insurance is the largest vertical and one of the hardest to enter. It's regulated at the state level, the buyers are professionalized, the traffic sources are capital-intensive, and the TCPA exposure is the

highest in the industry. Workable starter paths exist — agent-direct sales, Medicare-during-AEP, final expense — but they generally require an insurance license or a licensed partner.

Sources

- Public filings of QuinStreet (QNST), MediaAlpha (MAX), and EverQuote (EVER) — for vertical structure and unit economics.
- CMS Medicare Communications and Marketing Guidelines (annual).
- Insurance Marketing Coalition v. FCC, No. 24-10277 (11th Cir. 2025) — for regulatory context.
- State department of insurance licensing pages.

Lesson 2.5 — Financial services

> **Learning objective**
> Name the major financial services sub-verticals (mortgage, debt relief, tax resolution, credit repair, business loans), and explain why CFPB and state AG enforcement risk is the dominant variable in this vertical.

Why financial services

Financial services lead generation covers a heterogeneous set of consumer-finance products. Mortgage is the largest and most cyclical; debt relief is meaningful but heavily scrutinized; tax resolution and credit repair are smaller and have been particular focal points of CFPB enforcement. Business loans (small business financing, equipment finance, merchant cash advance) is increasingly its own sub-industry.

Sub-verticals at a glance

Sub-vertical	Lead type	Typical price (USD)
Mortgage — purchase	Form lead	$30 – $120
Mortgage — refinance	Form lead	Highly rate-environment dependent
Debt relief / settlement	Form lead	$40 – $90
Tax resolution	Form lead	$50 – $150
Credit repair	Form lead	$30 – $80
Business loans / MCA	Form lead	$40 – $150
Personal loans	Form lead	$10 – $40

Regulatory shape

What regulations require: Mortgage lead generation involves NMLS licensing in many states (state-specific). RESPA Section 8 prohibits kickbacks and unearned fees; pay-per-lead structures must reflect the reasonable value of services actually rendered (CFPB Bulletin 2015-05). Debt relief is governed by the FTC Telemarketing Sales Rule's debt-relief amendments — including bans on advance fees for telemarketed debt relief services. Tax resolution has been a major source of FTC and state AG enforcement (Optima Tax Relief and others). Credit repair is governed by the federal Credit Repair Organizations Act (CROA), which prohibits advance fees and requires specific disclosures.

What operators say works

What operators say works: *in trade conversations, operators repeatedly note that mortgage is the financial-services sub-vertical where the math works most cleanly when interest rates support refinance demand — but refinance demand has been substantially absent since 2022 and the operators who survived have done so by pivoting to purchase mortgage, HELOCs, and reverse mortgage. Tax resolution and credit repair are both functional verticals, but the compliance posture has to be deliberate from day one. Debt relief is a difficult vertical for newcomers because the procurement is dominated by a small number of large back-end law firms with formal vendor requirements.*

On-camera summary

Financial services lead gen is heterogeneous. Mortgage is largest and most cyclical. Debt relief, tax resolution, and credit repair each carry significant CFPB and state AG enforcement risk. Business loans and personal loans round out the vertical with lower regulatory friction but tighter unit economics. As a starter vertical, financial services rewards operators with relevant licensing or domain expertise; it punishes operators who treat it like generic consumer lead gen.

Sources

- CFPB Bulletin 2015-05, "RESPA Compliance and Marketing Services Agreements."
- Credit Repair Organizations Act, 15 U.S.C. § 1679 et seq.
- FTC Telemarketing Sales Rule debt-relief amendments, 16 C.F.R. § 310.4.
- Conference of State Bank Supervisors / NMLS state licensing pages.

Lesson 2.6 — Healthcare and medical

Learning objective

Name the major healthcare lead generation sub-verticals, explain the HIPAA marketing rules at a high level, and articulate why addiction treatment lead generation is a specialized regulatory category under EKRA.

Sub-verticals and structure

Healthcare and medical lead generation covers a wider range than newcomers expect: med spa, dental, cosmetic surgery, weight-loss programs (now including GLP-1 telehealth), senior care and home health, addiction treatment, and specialty clinical practices (e.g., orthopedics, ophthalmology). Per-lead prices range widely; the structural variable is whether the practice charges cash (med spa, cosmetic, weight-loss) or bills insurance (most clinical practices).

Sub-vertical	Lead type	Typical price (USD)
Med spa / aesthetics	Form lead	$30 – $120
Cosmetic surgery	Form lead	$60 – $200
Dental implants	Form lead	$80 – $250
Weight-loss / GLP-1 telehealth	Form lead	$40 – $150
Senior care / home health	Form lead	$30 – $90
Addiction treatment	Qualified inquiry	Specialist pricing; see EKRA section

HIPAA marketing rules

What regulations require: Under 45 C.F.R. § 164.501 and § 164.508, covered entities (most healthcare providers, health plans, and clearinghouses) must obtain HIPAA-compliant authorization for most uses of protected health information (PHI) for marketing purposes. Lead generation that touches PHI — for example, capturing condition or treatment information on a form, or routing leads based on diagnosis — must structure consent and data handling to fit HIPAA's authorization framework. This is why most healthcare lead generation captures minimal clinical detail before handing the consumer off to the practice.

Addiction treatment — a specialized category

What regulations require: The Eliminating Kickbacks in Recovery Act (EKRA), 18 U.S.C. § 220, enacted October 2018, prohibits offering or receiving remuneration for referrals to recovery homes, clinical treatment facilities, and laboratories. EKRA has been read by DOJ to prohibit percentage-based compensation to marketers for referrals, and to apply broadly across payor types (not only to federal healthcare program patients, unlike the older Anti-Kickback Statute). The practical consequence: revenue-share and per-acquired-patient compensation structures common in other verticals are not workable in addiction treatment lead generation.

Where newcomers do enter

Med spa and dental are the most accessible healthcare sub-verticals for newcomers: cash-pay practices, fragmented buyer pool, modest compliance burden (no PHI handling if intake captures only contact info, not condition), and meaningful lead value because the practice's per-customer revenue is high. Weight-loss telehealth has grown rapidly with GLP-1 availability and is a comparatively newcomer-accessible niche, with the caveat that it can attract regulatory attention and that program-specific compliance (telehealth licensure across states, prescription marketing rules) applies.

On-camera summary

Healthcare lead generation is varied. Cash-pay practices (med spa, dental, cosmetic, weight-loss) are the more accessible side; insurance-billing clinical practices come with HIPAA marketing constraints; addiction treatment is a specialized regulatory category under EKRA where compensation structures common in other verticals are not allowed. Newcomers most often start in med spa or dental.

Sources

- 45 C.F.R. § 164.501, 164.508 (HIPAA marketing authorization).
- 18 U.S.C. § 220 (EKRA).
- 42 U.S.C. § 1320a-7b (federal Anti-Kickback Statute).
- State telehealth and prescription marketing rules vary; verify per state of consumer.

Lesson 2.7 — B2B services

> **Learning objective**
> Describe how B2B lead generation differs operationally from consumer lead generation, name the main B2B sub-verticals, and explain why B2B brokering looks more like agency work than consumer brokering does.

Why B2B is different

B2B lead generation works on different mechanics than consumer lead gen. Buying signals are sparser and harder to verify; sales cycles run 30 days to 12+ months instead of hours to days; the buying unit is a committee, not a person; and the deliverable a buyer wants is often "sales-qualified meeting" rather than "form fill." The operator who serves these buyers ends up running something closer to a sales-development agency than a consumer lead brokerage.

Sub-verticals and typical economics

Sub-vertical	Lead type	Typical price (USD)
B2B SaaS	Marketing-qualified lead	$75 – $200
B2B SaaS	Sales-qualified meeting	$150 – $500+
IT services	MQL	$80 – $200
Accounting / bookkeeping	MQL	$60 – $180
Marketing services	MQL	$80 – $200
Commercial real estate	MQL	$100 – $300
B2B financial services	MQL	$80 – $250

Operational implications

Three things change when you cross from consumer to B2B:

4. Traffic sources flip. LinkedIn is the dominant paid channel (rather than Google or Meta); outbound (cold email, calling, LinkedIn outreach) becomes a real channel, not a fringe one; SEO and content are higher-value because B2B decision-makers research more than consumers do.
5. Lead specifications get more complex. Buyers specify firmographics (company size, industry, geography, tech stack) and frequently demand contact-level qualification (decision-maker title, budget authority).

6. Pricing models shift. Retainer/subscription engagements are more common; pure per-lead is rarer; pay-per-meeting and pay-per-opportunity (CPO) are common for sales-qualified deliveries.

Compliance shape

What regulations require: CAN-SPAM applies to commercial email. The TCPA's wireless-call consent rules apply when business phones are mobile (which they often are). State data-privacy laws (CCPA/CPRA, the 18+ state equivalents) treat business contact data with more or less restriction depending on the state. The Federal Trade Commission's Endorsement Guides reach B2B content as well as consumer content.

Where newcomers actually start

Operator commentary suggests B2B is a more forgiving entry point for operators with existing B2B sales experience, but harder for operators with only consumer marketing backgrounds. The skill of running outbound is meaningfully different from running paid social. The starter approach most often described in trade discussions: pick a single B2B vertical with a clear ICP (e.g., "small managed service providers" or "mid-market accounting firms"), build a tightly-scoped offer, and run outbound + LinkedIn + SEO to a small set of well-targeted buyers.

On-camera summary

B2B is operationally distinct from consumer lead gen: longer cycles, more complex lead specs, more committee buying, and a heavier outbound/LinkedIn channel mix. Brokering in B2B looks more like running an agency than running a consumer aggregator. Newcomers with B2B sales backgrounds find it more accessible than newcomers from consumer marketing.

Sources

- LinkedIn Marketing Solutions published benchmarks.
- Demand Gen Report annual surveys.
- FTC Endorsement Guides, 16 C.F.R. Part 255 (apply to B2B as well).

Lesson 2.8 — Local services and other consumer verticals

> **Learning objective**
> Recognize the long tail of consumer verticals that lead operators serve outside the headline categories — and the specific dynamics of real estate, education, automotive, and a few others.

The long tail

Beyond the six headline verticals, a substantial portion of the industry serves a long tail of smaller consumer categories. Many of these are accessible to newcomers — especially those with relevant prior experience or local relationships — but most are too small to be a viable scaled business on their own. They show up most often as the second or third sub-vertical of an operator who's already running something larger.

Sub-verticals worth knowing

Real estate

Two distinct sub-businesses: buyer leads (consumers looking to purchase, sold to agents) and seller leads (homeowners considering selling, sold to agents and to iBuyer/cash-buyer programs). Per-lead prices range $20–80 for buyer leads, $50–200+ for seller leads. Heavily disrupted by Zillow Premier Agent and Realtor.com Connections Plus, which dominate buyer-lead supply. Seller leads, especially in the "we buy houses for cash" sub-niche, remain accessible to specialty operators.

Education and tutoring

Career schools, online degree programs, K-12 tutoring, test prep. Per-lead prices $25–150. Has historically been a vertical with aggressive marketing practices and significant FTC and state AG enforcement (against several for-profit education operators over the last decade). Specific federal regulations around financial aid disclosure apply when leads are routed to Title IV-eligible institutions.

Automotive (non-insurance)

Car shopping leads (sold to dealerships), service appointments, used-car wholesale leads, RV and boat. Per-lead prices $5–30 for shopping leads; higher for specialty (used commercial, RV). Dominated on the supply side by large dealership-facing operators (CarsForSale, Edmunds, TrueCar, Cars.com). Hard to enter without dealership network.

Pet services

Pet insurance (overlaps with the insurance vertical, with its own carrier set), grooming and boarding, veterinary services, dog training. Per-lead prices $10–60. Smaller, fragmented, and growing modestly. Accessible to local-specialist operators.

Specialty consumer

Funeral services and final arrangements, monument and memorial, moving and storage, self-storage, tax preparation (consumer, not the tax resolution sub-vertical in financial services), wedding services, child care. Each is a meaningful niche for a specialty operator but rarely a scaled standalone business.

On-camera summary

Long-tail consumer verticals are accessible to operators with relevant background or local relationships but rarely large enough to support a scaled standalone business. They show up most often as the second sub-vertical of an operator who's running something larger. Real estate (especially seller leads), education, automotive, pet services, and a long list of specialty consumer niches each have working operators; the question for a newcomer is whether the volume is enough to validate before capital runs out.

Sources

- Zillow Group and Realtor.com public materials for real-estate lead generation dynamics.
- FTC actions against for-profit education operators (DeVry, Career Education Corp., and others) for marketing-practice context.
- National Automobile Dealers Association published reports on automotive lead generation.

Lesson 2.9 — Picking your first vertical: a decision exercise

> **Learning objective**
> Use the framework, the vertical scorings, and your own situation to produce a defensible short list of 1–2 verticals for your starter focus. The output is a written answer you can stand behind, not a vibe or a guru recommendation.

How to do the exercise

This lesson has a worksheet (delivered separately as a fillable PDF). The flow is:

7. Score yourself. Capital available, time available per week, relevant skills (sales, marketing, technical, vertical expertise), network in any vertical, geographic flexibility, willingness to obtain licensure if needed.
8. Apply the vertical comparison spreadsheet. Look at the six-factor scores; weight the factors that matter most for your situation (capital and beginner accessibility usually matter most for newcomers; LTV and demand stability matter more for capitalized operators).
9. Identify the 2–3 verticals that fit. The output is not one vertical; it's a short list.
10. Validation plan. For each short-listed vertical, write a $500–2,000 validation experiment you would run before committing — typically a targeted small paid-search test, a buyer-side conversation with 5–10 prospects, or a small organic content effort.

A worked example

Hypothetical newcomer profile:

- Capital available: $10,000.
- Time: 25 hours per week (full-time job).
- Skills: 5 years of consumer marketing experience; comfortable running Meta Ads; no SEO depth.
- Network: knows several small contractors (HVAC, plumbing) in the operator's home city.
- Geographic flexibility: home metro plus adjacent suburbs.
- Licensure willingness: unwilling to obtain insurance license.

Filter pass 1 — what's eliminated by capital and licensure: insurance (capital and licensure), personal injury and mass tort (capital), most of financial services (capital and complexity).

Filter pass 2 — what's eliminated by paid-social skill bias: SEO-heavy plays in mortgage or insurance comparison; pure outbound B2B plays without an existing list.

Filter pass 3 — what fits: home services, especially HVAC and plumbing in the operator's home metro, using the operator's contractor relationships to land the first 2–3 buyer contracts. Secondary candidate:

med spa and dental in the operator's home metro, using Meta Ads (the operator's strength) as the primary acquisition channel.

Short list: HVAC/plumbing in home metro (primary), med spa/dental in home metro (secondary). Validation plan: 30 days of small Meta Ads test ($1,500), 5 buyer-side conversations with existing contractor contacts, decision point at 30-day mark.

The honest part

What operators say works: *in trade conversations, operators repeatedly note that the best vertical for a specific newcomer is rarely the most lucrative vertical in absolute terms — it's the vertical where the operator's existing skills, network, and capital line up. The newcomer who tries to start in personal injury because the per-lead prices are high, and who has no PI buyer relationships and $5,000 in capital, almost always fails. The newcomer who starts in family law in their home metro with existing attorney relationships often does not.*

On-camera summary

Pick your vertical against the framework and against your own situation, not against a guru's recommendation. Use the spreadsheet to compare; use the worksheet to score yourself; produce a short list of 1–2 verticals; then run a small validation experiment before committing. The output of this module is a written answer you can defend — not a vibe.

Sources and further reading

- Vertical comparison spreadsheet (Module 2 deliverable).
- Niche evaluation worksheet (Module 2 deliverable).
- LeadsCouncil annual operator surveys — for benchmark perspectives on which verticals newcomers actually entered.

Module 2 wrap-up and what's next

You've now covered the six-factor evaluation framework, seven vertical landscapes with sub-vertical price ranges and regulatory frames, and a structured decision exercise. The Module 2 deliverables — the vertical comparison spreadsheet, the niche evaluation worksheet, and the buyers/networks-per-vertical reference — operationalize the lessons.

What Module 3 covers

Module 3 is the regulatory landscape. Every regulation referenced across Modules 1 and 2 — TCPA, FTC Endorsement Guides, FTC Reviews Rule, TSR, CAN-SPAM, FCRA, state privacy laws, ABA Model Rules, NMLS, RESPA Section 8, EKRA — gets full coverage with primary-source citations, and the module finishes with a compliance checklist a new operator can work through before launch. Module 3 is the largest and most maintenance-heavy module; it will be re-researched and updated every six months.

> **Standing disclosures**
> This module is a research-based primer. It is not legal, financial, or business advice for your specific situation. Per-lead price ranges are illustrative — drawn from published industry sources and operator commentary — not market-clearing prices. Regulations cited are current as of dates noted; verify primary sources before relying on any claim. No income claims are made or implied.